Cambridge (CIE) A Level Business

Your notes

Marketing Strategy (A Level)

Contents

- The Marketing Plan
- Approaches to Marketing Strategy
- Strategies for International Marketing

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The contents of the marketing plan

- A **marketing plan** is a written document that outlines a business's marketing goals and how they will be achieved
- It includes details about **target customers**, **market research**, **marketing strategies**, **resources** required and **how success will be measured**
- The **purpose** of a marketing plan is to
  - Guide a business's marketing efforts to achieve its overall objectives
  - Ensure marketing activities are consistent and coordinated
  - Help allocate resources effectively
  - Monitor and evaluate marketing performance over time

Key components of a marketing plan

1. Marketing objectives

- These are specific goals a business aims to achieve through its marketing activities
- Marketing objectives should be SMART
  - **S**pecific – e.g. "increase sales by 10%"
  - **M**easurable
  - **A**chievable
  - **R**ealistic
  - **T**ime-bound – e.g. "within 6 months"
- E.g. a phone company may aim to increase market share among teenagers by 15% in one year

2. Marketing budget and resources

- This section identifies
  - The total amount of money allocated for marketing
  - The tools and staff needed for advertising, online campaigns, packaging and research etc
- It ensures spending is controlled and prioritised according to objectives

3. Market research

- Research provides insight into
  - Customer needs and behaviour

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- Competitors' strengths and weaknesses
- Market trends
- It includes both:
  - **Primary research**, such as surveys, focus groups and product trials
  - **Secondary research**, such as government and industry reports

4. The marketing mix (4Ps)

- This section outlines the business's approach to
  - **Product**
    - What is being sold, including decisions related to quality, design and packaging
  - **Price**
    - What pricing strategy will be used, such as competitive, penetration or dynamic methods
  - **Place**
    - Where and how the product will be distributed, such as online or through retail outlets
  - **Promotion**
    - How the product will be promoted through, for example, social media, the use of discounts or advertising

Case Study

JuicePop Ltd, a small business in Kenya, plans to launch a new tropical fruit juice for young adults

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Juicepop's marketing plan provides a clear strategy for entering the market with a focused and well-researched approach

- **Marketing objective**
  - Sell 5,000 units of the new juice within 3 months of launch
- **Resources**
  - £40,000 marketing budget
  - Two marketing staff members
  - Social media ads
- **Research**
  - Online surveys showed strong interest in natural, sugar-free drinks among 18–25–year-olds
  - Industry research shows significant growth in fruit-based drinks across southern African countries
- **Marketing mix**
  - **Product**
    - 500 ml recyclable bottle, bold tropical branding
  - **Price**
    - Competitive pricing, similar to rivals but with discounts at launch
  - **Place**
    - Sold in supermarkets and university cafés
  - **Promotion**
    - Instagram and TikTok campaigns with local influencers

Benefits and limitations of marketing planning

- Creating a marketing plan can help a business work more effectively and stay focused on its goals
- However, plans may become outdated quickly or take too long to create, limiting their usefulness

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Evaluating marketing planning

Benefits	Limitations

▪ **Clear direction**
  ▪ Sets clear marketing objectives so everyone knows what they are working towards
▪ **Better resource use**
  ▪ Helps avoid wasting money or time on ineffective marketing
▪ **Performance monitoring**
  ▪ Makes it easier to track success and make adjustments if needed
▪ **Improved coordination**
  ▪ Encourages teamwork between departments like sales, finance and production
	▪ **Uncertainty**
	  ▪ Market conditions can change, making parts of the plan less useful or outdated
	▪ **Time-consuming**
	  ▪ Developing a good plan can take time away from other business activities
	▪ **Cost**
	  ▪ Good market research and planning can be expensive, especially for small firms
	▪ **Lack of flexibility**
	  ▪ Businesses may stick to the plan too strictly and miss new opportunities

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Consistency of the marketing strategy

- Marketing strategies need to be **consistent** and **coordinated** carefully to ensure that they are fully **focused on achieving marketing objectives**

Features of an effective marketing strategy

Consistent	Coordinated	Focused
▪ Marketing strategies reflect and reinforce **business** and **brand values** ▪ They are **appropriate for the product** to which they are applied ▪ They are **suitable for the intended target market** such as **mass** or **niche** markets	▪ Marketing **budgets**, the **marketing mix** and the **promotional mix** must be tied together ▪ The cooperation of relevant **functional managers** is vital ▪ Mixed messages need to be avoided to ensure customers fully **buy in** to the product	▪ Strategies must be **focused** on achieving the business's **specific marketing objectives** ▪ They should be **adapted when objectives change** and **regularly reviewed** to ensure they retain this focus ▪ Unfocused strategies should **be discarded**

The importance of consistency

- Consistency in marketing means that all parts of a business's marketing plan and activities work together in a unified and coordinated way
- Messages, branding, pricing, and customer experience **feel the same across all platforms** and over time
- This builds trust, strengthens the brand, and avoids confusion

How do businesses achieve consistency?

Method	Explanation
Clear marketing objectives	▪ All strategies and actions are based on shared goals such as growing market share
Strong brand identity	▪ Using the same logos, colours, tone of voice and design across all marketing materials
Integrated marketing mix	▪ Making sure product, price, place, and promotion all send the same message to customers

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Communication	▪ Ensuring all employees understand and follow the brand and marketing strategy in interactions with customers

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Case Study

Apple's consistent marketing strategy

- Apple has built a strong brand based on design, innovation, and simplicity
- These ideas influence how the company creates its products, advertises them, and treats its customers
  - **Branding**
    - Whether a customer is looking at a product, a store, or a website, the clean and modern Apple style is always the same
  - **Product design**
    - Apple focuses on high-quality, simple design across its whole range, from iPhones to MacBooks
  - **Promotion**
    - Apple uses minimalistic advertising with strong emotional appeal
    - The same tone and style are used globally
  - **Customer experience**
    - In Apple Stores around the world, the layout, service and atmosphere are consistent
- Because of this consistency, customers trust Apple and feel confident in their products
- This helps maintain customer loyalty and enables premium pricing

Coordinated marketing strategy

- A **coordinated marketing strategy** means **all parts of the marketing plan** work together smoothly
- This involves making sure that every department involved, such as sales, product design, advertising, and customer service, is aligned with the overall marketing goals
- Good coordination avoids mixed messages and improves efficiency

How do businesses achieve coordination?

Method	Explanation
Shared objectives	▪ All departments follow the same goals, such as increasing sales or launching a new product

Cross-department teamwork	▪ Marketing teams work closely with other departments like production, finance and customer service
Planning meetings	▪ Regular communication helps keep everyone informed and pulling in the same direction
Consistent marketing mix	▪ The 4Ps all support the same overall strategy

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Case Study

Well-coordinated marketing strategy at Coca-Cola

- **Coca-Cola** shows excellent coordination across its global marketing activity
- This coordination helps Coca-Cola stay as one of the world's most recognisable and successful brands.

- **Product**
  - Taste, packaging, and quality are consistent worldwide
- **Promotion**
  - Advertising campaigns, such as "Share a Coke", are used across many countries with local adaptations
- **Sales and distribution**
  - Coca-Cola works closely with retailers, restaurants, and vending machine suppliers to ensure availability
- **Customer service**

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- Support teams know the marketing campaigns and brand message to create a consistent customer experience

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Marketing strategy and its focus on objectives

- A **marketing strategy focused on objectives** ensures that every marketing decision is aimed at achieving clear, specific goals
  - These objectives may include increasing sales, building brand awareness or entering a new market
  - When marketing activities are aligned with these goals, the business is more likely to succeed

How businesses ensure focus on objectives

Method	Explanation
Setting SMART objectives	▪ Goals should be Specific, Measurable, Achievable, Realistic, and Time-bound
Performance tracking	▪ Businesses regularly check progress using sales data, customer feedback, and market research
Strategic planning	▪ Every part of the marketing plan, including the 4Ps, supports key objectives
Regular reviews	▪ Businesses adjust their strategy if the objectives aren't being met

Case Study

Nike's focused marketing strategy

- **Nike** is a good example of a company that keeps its marketing focused on clear objectives
- With this clear focus, Nike remains competitive and keeps growing its customer base worldwide
- **Objective**
  - Strengthen customer loyalty and grow global market share among young, active consumers
- **Strategies**
  - Use high-profile athletes and inspirational advertising to build emotional connections
  - Launch targeted campaigns like "*Just Do It*" that support its brand message and appeal to its audience

- Track performance through sales figures, social media engagement, and customer surveys

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Information technology in marketing

- Information technology (IT) tools and applications are extensively used in marketing for a variety of purposes

Where are IT tools and applications used in marketing?

Social media

- Businesses use platforms like Instagram, TikTok and YouTube to build and maintain a presence
- Regular posts link products to trends, creating modern word-of-mouth promotion
- Social media enables fast, interactive communication using video and sound
- Customer comments and reviews can support market research
  - E.g. **Forever 21** uses Instagram to share images and short videos promoting new products and events

Websites

- Most firms use a website, sales platform, or both
- These allow online selling and quick sharing of company info like press releases
- Blogs and vlogs help drive traffic to sales platforms.
  - **Zalando**, based in Germany, is an online mall for top European fashion brands and own labels like Kickz

Email

- Businesses create databases of customers who opt in to email updates
- These emails share news of new products, offers and events quickly and cheaply

Mobile

- Many businesses use mobile apps for browsing and purchases
- Text messages can promote offers, share links and gather feedback

In-store

- Technology in stores attracts and engages customers
- Digital signage promotes offers and ranges while enhancing store ambience
- Custom systems give live updates on stock to staff and shoppers

Artificial intelligence in marketing

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- It is argued that marketing is the business function where **artificial intelligence (AI) has significant potential** to make a positive impact

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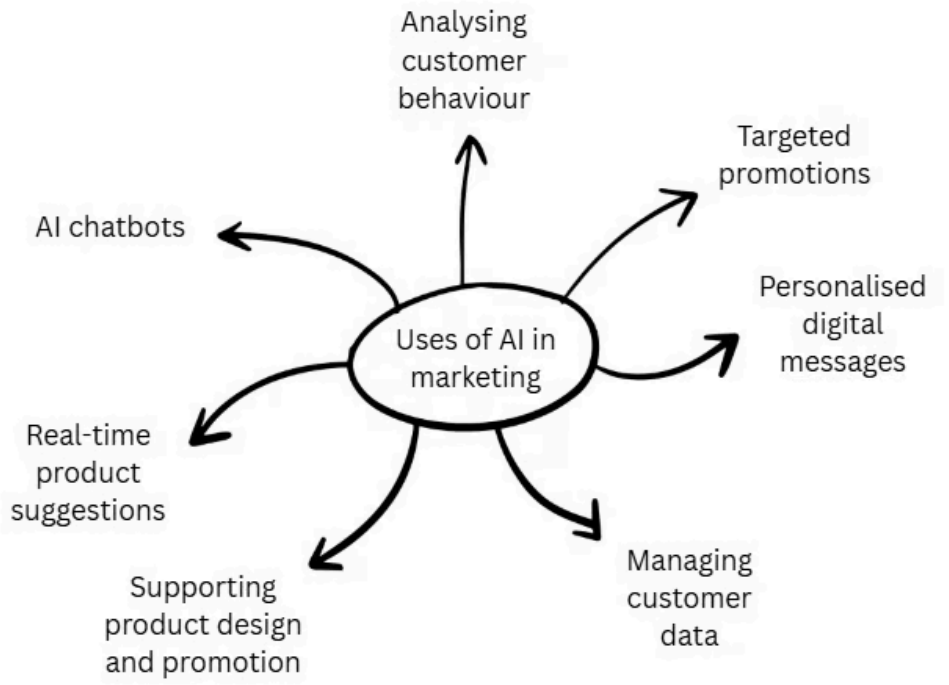

AI can be used to analyse customer behaviour, personalise digital messages, make real-time product suggestions and support customer service

Current uses of AI in marketing

Analysing customer behaviour

- AI can study huge amounts of data from sources like social media, smart speakers, online shopping and product reviews
- This helps businesses understand what customers like, how they shop and what influences their decisions

Targeted promotions

- Using real-time data, AI can quickly send the right adverts or offers to the right customers
- This makes marketing more effective and personalised

Personalised digital messages

- AI can create and send custom messages to individuals based on their interests, shopping history and past interactions with the business

Managing customer data

- AI helps organise and analyse customer profiles by combining information from various devices and apps

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- This gives businesses a clearer picture of their audience

Supporting product design and promotion

- AI gives product designers and marketers detailed insights into what customers want
- This helps them create and promote products that are more likely to succeed

Real-time product suggestions

- While a customer is shopping online, AI can recommend products based on their past or current activity
- This can influence what the customer chooses to buy

AI chatbots

- Many businesses use AI-powered chatbots to answer customer questions automatically
- These bots are available 24/7 and help improve customer service without needing human staff at all times

AI in marketing: key concerns

Consumer resistance	Capital investment requirements	Careful human supervision is required
▪ Many consumers are **unhappy about the large-scale collection of data** ▪ The use of AI in marketing can increase the possibility of **discrimination** and the **misuse of information** ▪ E.g., a customer's **credit rating** is reduced because AI determines that others who shopped where he shopped had a poor repayment history	▪ AI systems require a significant investment in **hardware**, **processing power**, **software**, **highly skilled employees** such as programmers and **training** ▪ These high costs increase **barriers to entry** for small firms and increase the **competitive advantage** of already-powerful firms ▪ This may have the effect of **reducing competition** and **choice** for customers	▪ AI systems require close supervision to ensure that **programming errors** are identified and corrected swiftly ▪ AI systems **lack the creativity and imagination of humans,** so output may be perfected by human touch ▪ Ensuring that AI-generated promotional activity is **focused on marketing objectives** is a judgement best made by a human

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Globalisation, economic collaboration and marketing

- **Globalisation** is the increasing connection and interdependence of countries through trade, communication, transport and technology
  - It allows businesses to operate and compete in international markets more than ever before
- **Economic collaboration** is when countries or regions work together to support trade and economic growth
  - This includes trade agreements, shared markets, such as the EU, and international organisations, like the World Trade Organisation

Implications for marketing

Implication	Explanation
Access to larger markets	▪ Globalisation allows businesses to sell in many countries ▪ Marketing must be adapted for different cultures, languages and customer needs
Increased competition	▪ International trade increases competition ▪ Businesses must improve their marketing, offer better prices and be more creative with promotions and branding
Need for local adaptation	▪ Products can be sold globally, but marketing messages often need to match local tastes and values ▪ This is called **glocalisation** - developing global brands with local appeal
Joint marketing opportunities	▪ Countries working together can create shared marketing campaigns and promote across borders more easily ▪ E.g. in the **EU**, firms face fewer legal or language barriers

The importance of international marketing

- **International marketing** is when a business promotes and sells its products in more than one country
- It plays a key role in helping businesses grow, increase profits and compete globally

Why international marketing is important

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International marketing provides access to new customer, diversifies risk, takes advantage of global trends and helps build a global brand

- **Access to new customers**
  - By marketing products in other countries, businesses can reach millions of new potential customers
    - E.g. **Netflix** expanded from the US to over 190 countries, gaining millions of new subscribers through localised marketing and content
- **Spreading risk**
  - Selling in different countries helps reduce risk
  - If sales fall in one country, sales in other regions may still grow
    - E.g. **Toyota** sells vehicles across Asia, North America and Europe, which helps balance profits even if one region performs poorly
- **Taking advantage of global trends**
  - International marketing allows businesses to respond quickly to global fashion, technology or lifestyle trends
    - E.g. **Zara** uses fast-fashion marketing strategies across global cities to catch and promote trends in real time
- **Building a global brand**
  - International marketing helps businesses build strong global brands that are recognised and trusted around the world
    - E.g. **Samsung** has become one of the world's leading technology brands by using consistent marketing messages and high-quality advertising across Asia, Europe, and the Americas

Identifying and selecting suitable international markets

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- Before entering a new country, a business must carefully research and choose the right market
- Picking the wrong market can lead to wasted investment, while choosing wisely can bring growth and long-term success

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Key factors in choosing an international market

Factor	Explanation	Example
Market size and growth	▪ Businesses look for large or fast-growing markets to increase sales opportunities	▪ Many global brands have entered **India** and **Vietnam** due to their large, young populations and rising incomes
Customer needs and preferences	▪ Firms must ensure the product is wanted and may need to adapt it for local tastes, culture, or values	▪ **McDonald's** changes its menu in different countries—e.g. vegetarian burgers in **India**
Level of competition	▪ Entering a crowded market can be difficult, so businesses may look for places with fewer rivals	▪ A **skincare company** may enter an emerging market with fewer global beauty brands
Legal and political environment	▪ Some countries have strict laws or unstable governments that make entry risky	▪ Companies may avoid markets with frequent government changes or **trade restrictions**
Costs and infrastructure	▪ Businesses consider transport, marketing and setup costs ▪ Good infrastructure supports smooth operations	▪ **Shopee** expanded in Southeast Asia due to better internet access and delivery networks

Case Study

GreenSip Ltd makes stylish, eco-friendly water bottles aimed at environmentally conscious consumers

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The business already sells successfully across the UK and now wants to grow by entering a new international market, either in Brazil or in Sweden

Market comparison of Brazil and Sweden

Factor	Brazil	Sweden
Market size and growth	▪ Population over 200 million with a growing middle class ▪ Strong potential for long-term sales growth	▪ Smaller population (approx. 10 million) ▪ High income levels and strong consumer spending
Customer preferences	▪ Sustainability awareness is increasing, but reusable products are still a new trend in many areas	▪ Consumers are already eco-conscious and likely to support GreenSip's sustainability message
Competition	▪ Fewer established eco-brands, which could give GreenSip a competitive advantage	▪ Many strong local and international eco-brands already exist, making it more competitive

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Challenges and ease of entry	▪ High import taxes and less reliable delivery infrastructure ▪ Branding may need cultural adaptation	▪ Easy entry due to strong infrastructure ▪ EU membership (low trade barriers) ▪ Reliable digital payment systems.

- GreenSip Ltd. chose to enter **Sweden** as its first international expansion market
  - Although Brazil offered more long-term growth potential, the management team decided that Sweden was a safer first step
  - The strong match between Swedish consumer values and GreenSip's eco-friendly brand made it easier to launch with minimal changes to product design or marketing
  - Additionally, as part of the EU, Sweden allowed for lower costs, faster delivery and fewer legal barriers

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Entering international markets

- When expanding into a new country, businesses must decide **how** to enter and **how to market** their products

Strategies for entering international markets

Pan-global strategy

- A **pan-global strategy** is where a business uses the same product and marketing approach in all countries
  - Branding, packaging and promotion stay the same
  - This approach is best used when customer preferences are similar worldwide, such as in technology or fashion where global trends dominate
- **Advantages**
  - Saves money through economies of scale
    - Using the same adverts, packaging and branding worldwide reduces costs
  - Strong, consistent global brand image
    - Customers recognise and trust the brand across all markets
- **Disadvantages**
  - May not suit local tastes or culture
    - What appeals in one country may not work in another
  - Risk of marketing failure
    - The message might not connect with customers in certain regions

Local strategy

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- A **local strategy** is where a business changes parts of its product or marketing to suit local tastes, culture, language or laws
- This approach is best used when markets are culturally, legally or economically different, such as in food, healthcare or personal care industries
- **Advantages**
  - Matches local customer needs better
    - Products and marketing can reflect local tastes, language and culture
  - More likely to connect with target market
    - Customers feel the business understands them, which can increase loyalty
- **Disadvantages**
  - Higher costs due to adaptation
    - Creating different versions of adverts, packaging or products for each country can be expensive
  - More complex to manage
    - Coordinating different strategies across markets requires more time, staff and control

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Strategies to develop a global market

- When expanding globally, businesses must choose strategies that match their **goals**, **resources**, and the **markets** they are entering
- Key factors businesses consider include
  - **Target market analysis**
    - Businesses study customer needs, cultural values, income levels and demand
    - Helps decide whether to use a pan-global or localised marketing approach
  - **Product type**
    - Some products (e.g. technology, luxury goods) may work globally with little change
    - Others (e.g. food, personal care) often need local adaptation to suit customer preferences or laws
  - **Resources and budget**
    - Larger businesses may invest in **FDI** or joint ventures
    - Smaller firms may start with **exporting** or **licensing** due to lower risk and cost
  - **Level of risk**
    - Political stability, economic conditions and ease of doing business affect strategy choice

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- Higher-risk markets may be entered through partnerships with local businesses rather than full ownership
- **Competitive environment**
  - Businesses assess the strength and number of competitors
  - In highly competitive markets, differentiation and strong branding are essential

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Case Study

Global expansion strategy – Eco Brew Ltd

- Eco Brew Ltd is a Ireland-based business that sells organic, fair-trade coffee in eco-friendly packaging

- After strong growth in the domestic market, the company is now looking to expand internationally
- The management team must decide which strategy to use to successfully enter and compete in a global market

Step 1: Target market research

- Eco Brew's research team investigated several countries and narrowed the options to **Canada** and **South Korea**
- Both had strong coffee cultures, but preferences and market conditions differed
  - Canada had a high demand for ethical, organic products and a shared language and culture with Ireland
  - South Korea had a fast-growing premium coffee market, but stronger local competition and cultural differences
- Eco Brew chose Canada as its first global market due to easier cultural fit, high sustainability awareness and lower risk

Step 2: Choosing a marketing strategy

- Eco Brew considered whether to use a pan-global strategy or a local adaptation strategy
- Since Canadian consumers value eco-packaging and fair trade, just like Irish customers, Eco Brew decided to keep its branding and product consistent
- Only minor adaptations were made, such as using bilingual (English/French) labelling and adjusting promotions to local festivals

Step 3: Selecting a market entry method

- Eco Brew considered four main entry options: exporting, licensing, joint venture, and foreign direct investment (FDI)
- As a small but growing business, Eco Brew had limited capital
- It chose exporting with a trusted Canadian distributor to test the market while keeping risk and cost low.

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Methods of entry into international markets

- When a business wants to expand into another country, it must decide **how to enter that market**
- The method chosen can affect the level of **risk, cost, control and speed** of entry
  - Some businesses may prefer low-risk options like exporting, while others may invest heavily to set up operations abroad
- The best choice depends on the business's goals, resources and the nature of the market it's entering

Entering international markets can involve exporting, licensing, joint ventures or FDI

1. Exporting

- The product is made in the home country and sold overseas, either directly or through agents or distributors

2. Licensing

- A local business is allowed to produce and sell the product under the brand name

3. Joint ventures

- The business works with a local partner to enter the market, sharing risks, costs and local knowledge

4. Foreign direct investment (FDI)

- The business sets up its own operations in the new country by opening a factory, store, distribution facilities or offices

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Evaluating each method

Approach	Advantage	Disadvantage
Exporting	▪ Low risk and low investment cost, as the business doesn't need to set up operations abroad	▪ Less control over how the product is marketed or sold in the foreign country
Licensing	▪ Quick market entry with limited cost, as the local partner handles production and distribution	▪ Risk of losing control over brand quality or misuse of intellectual property
Joint ventures	▪ Combines local expertise with business resources, which is useful for navigating cultural or legal issues	▪ Profits must be shared and potential disagreements can arise between partners
Foreign direct investment (FDI)	▪ Full control over operations, branding and quality, which is good for long-term growth	▪ Very high cost and risk, as it involves major investment and commitment

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